

CSIQ pitch deck

PITCH — CSIQ — VERDICT

PROPOSED — PENDING ADJUDICATION — no position today; both benches landed flat, but for different reasons, and the one number that would settle the case (is the parent's leftover equity really levered, or is the debt ring-fenced inside a separately listed subsidiary?) has not been pulled from a primary source by either side.

What we believe

Canadian Solar (CSIQ, NASDAQ, Ontario-headquartered, China-operating) trades at **\$12.21**, down **64.7%** from its 52-week high of \$34.59 and **29.8% above** its 52-week low of \$9.41. At 67,907,507 basic shares that is a **\$829 million** market value for the whole company.

The one fact that makes this interesting is not a forecast. It is an observable price on another exchange. Canadian Solar's manufacturing business, **CSI Solar, is separately listed in Shanghai (688472)**. On 2026-09-01 it was worth **RMB 32.70 billion (~\$4.58 billion)**. Canadian Solar's disclosed stake is **~63.8%**, worth roughly **\$2.92 billion**. So the parent, which also owns the Recurrent Energy development business and holds \$1.46 billion of unrestricted cash, is priced at about **28% of its listed stake alone** — a ~72% discount to a single publicly quoted asset.

That is the thesis in one sentence: *the market may be applying holding-company arithmetic that double-counts the manufacturing debt, because that debt sits inside an entity that has its own \$4.6 billion equity cushion trading in Shanghai.*

We also believe the storage business is real and growing while the module business shrinks: Q2 storage shipments were **3.7 GWh, up 73% year-over-year**, beating the company's own 2.8–3.2 GWh guidance, with a **\$3.5 billion contracted backlog** stated in the earnings release itself. Modules were 3.1 GW, **down 60% year-over-year**.

We do not currently believe this is enough to buy. See the next four sections.

What the market believes

The market believes this is a levered, cash-burning Chinese solar manufacturer in a shrinking module market, with a US policy regime that is about to get more expensive, and it is marking it accordingly — **in both venues at once**.

That last clause matters and it is the single most damaging fact we found. CSI Solar's own Shanghai shares are at **RMB 8.95, down 11.56% over one year, against a 52-week range of RMB 8.83–24.28**. The operating business is at its own 52-week low in its home market. So the US-listed parent's collapse is **not** a story about a forgotten American listing while the real asset holds up. Both are being

marked down together. Any version of this pitch that says “US investors have abandoned it, the Chinese market knows better” is dead on the tape.

Sell-side price targets cluster around \$21.60 (Mizuho \$19) — the weakest form of evidence there is, and neither of our benches extracted the actual FY2027 revenue and gross-margin consensus, which is the number that would let us say whether we disagree with anyone about anything.

Why we might have edge

1. **Nobody in the debate did the sum-of-the-parts against a live foreign quote.** Our first-pass brief argued the leftover equity was ~45% of the debt-inclusive value; our adversarial bench proved that arithmetic wrong; and then the audit bench found that *both* were framing the parent as a thin sliver of a levered whole, when a majority stake in a listed subsidiary is worth 3.5× the entire parent. The manufacturing debt of ~\$2.5 billion sits inside the entity that carries the \$4.58 billion equity cushion.
2. **The tariff's sign is genuinely contested, not settled.** The \$232 proclamation effective **2026-12-04 12:01am ET** sets minimum import prices of ~\$0.38/W on modules and ~\$0.22/W on cells plus a 15% tariff on polysilicon derivatives. Read as a tax on imports, it is bad. Read as a price umbrella over Canadian Solar's **10 GWp of US-made modules in Mesquite, Texas** and its now-operating **2.1 GWp HJT cell plant in Jeffersonville, Indiana**, it is good. The same proclamation contains a **company-specific onshoring relief program** with a construction-start deadline of 2029-01-20 — and Canadian Solar has already started. Most people are reading only one side of it.
3. **Storage is not in the tariff annex.** The segment that grew 73% and carries a contracted backlog is not the segment the policy touches.

Why it might be priced in

Honestly: most of it probably is.

- The holding-company discount is **persistent, not new**. We did not establish that it *widened*. A structural 60–75% discount on a China-controlled parent whose subsidiary cash flows are hard to move up to the parent is a normal price, not a mistake. Whether today's discount is outside its own three-year band is **unverified** — and that single check is the difference between “dislocation” and “this is just what these things trade at.”
- The stake is **not monetizable**. Canadian Solar cannot sell 63.8% of a STAR Market listing into the market to fund the parent.
- A-shares carry a structural premium to what a foreign holder could realize, so \$2.92 billion is an upper bound on what the stake is worth to us.
- The cash burn is real and current: **operating cash flow of –\$181 million in Q2 and –\$389 million in the first half**, against full-year capital spending of roughly \$1.3 billion weighted to the second half. Leverage rose during the quarter.

- The subsidiary is at its own 52-week low. The people closest to the asset are not paying up for it either.

What could go wrong

Failure narrative 1 — The discount is the price, not the error (most likely). We buy a 72% holding-company discount expecting it to close, and it doesn't, because it never was a mispricing: the parent's claim on the subsidiary is legally real but economically inert, and the market has priced that correctly for years. Meanwhile the operating business keeps deteriorating and the discount stays constant on a falling base — we lose the full decline with none of the convergence. *Tripwire exists:* the discount time series versus the three-year band. We have not built it. Until we do, this narrative is unfalsifiable and we should not have a position.

Failure narrative 2 — The tariff resolves against us on 2026-12-04. Canadian Solar's realized module price in Q2 was roughly **\$0.217/W** on a global blended basis — 43% below the **\$0.38/W** minimum import price. Our adversarial bench called this fatal; our audit bench correctly pointed out that a *global blended* price cannot be compared to a *US-entry* floor, and that the company discloses no US-delivered price. But the exposure is directional and dated: Jeffersonville Phase 1 is 2.1 GWp of cells against Mesquite's 10 GWp of module capacity, and Phase 2 (to 6.3 GWp) does not begin trial production until Q1 2027. For roughly four months to a year, the company must import most of the cells it converts into US modules, at a floor price. *Tripwire exists:* the December 4 effective date, the Q3 earnings call, and any Commerce onshoring-program approval or denial.

Failure narrative 3 — No tripwire. Prohibited-foreign-entity disqualification, decided privately. The 2026 rules disallow manufacturing and investment tax credits where a taxpayer is a "prohibited foreign entity," with a 50% non-prohibited cost threshold for solar components. Canadian Solar's own risk language says only that it is "*actively taking steps intended to support continued eligibility.*" It does not assert that it is not a prohibited foreign entity. If the IRS or Treasury reaches an adverse material-assistance determination, that determination happens inside a private administrative process with **no filing obligation and no observable precursor**. We would learn about it from a credit reversal already reflected in the tape. **Unknown-unknown class named: private administrative status determinations with no disclosure trigger** — the same class that covers export-control listings, undisclosed intra-group value transfers between a US-listed parent and a PRC-listed subsidiary, and any foreign-private-issuer reporting gap (Canadian Solar files semi-annually on Form 6-K, not quarterly on 10-Q, so there is a six-month window in which nothing is required to be told to us). We ran **no export-control or sanctions screen** on the Chinese subsidiaries. Both benches flagged this as the highest-value unrun check on the sheet, and neither could run it.

The reflexive and structural leg — our own behavior is a risk factor here. - *Size versus liquidity is not the problem.* At a \$829 million market value with normal daily volume in the millions of shares, any starter position we would take is a rounding error against the tape. We cannot move this price and we will not be trapped by our own footprint. - *Our reopen level is exactly where predicted forced flow prints.* Our natural re-entry band is a retest of the \$9.41 low. That is precisely the zone where index-deletion, margin, and tax-loss selling concentrate. Buying our own predicted flow is the

specific mistake our own rules tell us not to make, and the pull to do it here is strong because the level looks like “the low.” - *Two doctrine interactions bias us toward yes*. First, the holding-company-discount pattern we just wrote down as a reusable detector was derived from this very name — if we then let it fire on this name and count that as independent confirmation, we are grading our own homework. Second, our tax framework quietly rewards entering positions that can generate harvestable losses. A name down 65% with a plausible story is the exact shape that framework over-selects for. Both pressures point the same direction, and neither is evidence.

If this position loses money, the most likely reason will be that we treated a holding-company discount as a mispricing when it was the market’s correct and durable price for a parent whose subsidiary cash flows never reach it — and we compounded that by buying the 52-week-low retest into the same forced selling we had predicted.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Recourse debt is ~\$2.9B; leftover equity is ~45% of debt-inclusive value	Pulled the Q2 earnings exhibit itself (6-K filed 2026-08-27) rather than a secondary rendering	Total debt including financing liabilities \$7.1B ; Recurrent-related \$4.1B , of which only \$2.6B is stated non-recourse . So \$4.5B is <i>not</i> stated as non-recourse	NO — our own brief was wrong. The 45% figure was a transcription error and the entire reason this went to court. It does not exist
...therefore recourse is \$4.5B and the equity is a thin 21% sliver	Audit bench re-read the same sentence	“Not non-recourse under Recurrent” is not the same as “recourse to the parent.” The filing never states parent recourse on the \$1.5B residual. \$4.5B is an upper bound , not a finding	PARTIAL. Our adversarial bench over-claimed in the other direction. The honest answer is: <i>unknown until the 20-F debt note</i>
§232 is a cost shock: realized price \$0.217/W is 43% below the \$0.38/W floor	Segment math from the earnings exhibit vs the proclamation’s operative text	The \$0.217/W is a global blended price; the floor is a US-entry price. The company discloses no US-delivered price, so the comparison is not computable from disclosure	NO — our adversarial bench made a mix error. The direction of the tariff is unresolved, not fatal
The bull case’s “\$4.5B / 13 GWp US backlog” is transcript-only, so the release is hiding it	Full-text read of the earnings exhibit	Those exact figures are absent — but the exhibit does disclose a \$3.5B e-STORAGE contracted backlog , Phase 1 at 2.1 GWp and Phase 2 to 6.3 GWp	PARTIAL. Our disclosure-inconsistency flag fired too hard; a release omitting one segment cut is ordinary hierarchical disclosure, not concealment. Downgraded to a watch item
The company will not assert it is not a prohibited foreign entity	Read the risk language in the annual 6-K	Correct — it says only “ <i>intended to support continued eligibility.</i> ” But no issuer asserts a conclusion on its own tax status in this document	YES on the fact; NO on the novelty. This is a real tail risk that

Claim	How checked	Found	Confirmed?
			everyone already knows, not an edge
Cash position is \$1.9B	Cash-flow and balance-sheet detail in the filing	\$1,461M unrestricted ; restricted \$374.7M + \$14.5M. Operating cash flow –\$181M in Q2, –\$389M first half	YES. The headline cash number overstates what is available
Share count / dilution	Filing	Diluted = basic = 67,907,507 (anti-dilutive on the loss). Converts (~\$0.4B) are far out of the money at \$12 but re-arm on any recovery	YES
Satellite construction evidence at Jeffersonville	Pre-flight imagery payload	Most recent usable scene is 2025-08-19 — eleven months <i>before</i> the July 2026 ribbon-cutting, and the location is a city-centroid guess	NO READ. Our adversarial bench declined to bank a free kill on stale data. That was the right call and we credit it
Plant thermal signature at Mesquite implies low utilization	Pre-flight thermal payload	2.2°C excess, trend –1.61°C/yr — at city-level location precision, which fails our own admissibility rule	NO READ
Live price	Neither bench could re-strike an independent quote (broker contract-search tool was permission-denied twice)	Adversarial bench used \$12.30 , audit bench used the pack’s \$12.21 . Small, but it means the market-cap figures in the two write-ups differ by \$6M	NO — unresolved. We ran the whole case off a single 09:19Z snapshot
Ownership of CSI Solar is 63.8%	Company disclosure	Sourced to a 2025-09-30 disclosure, not the FY2026 annual report	NOT CURRENT. This is load-bearing for the entire sum-of-the-parts and it is a year stale
Sell-side expectations	Attempted	Neither bench extracted FY2027 consensus revenue or gross margin. We have only price targets	NO. We cannot say we disagree with the market, because we never wrote down what the market expects

Primary source for the filing facts above: [Canadian Solar Q2 2026 results, 6-K exhibit 99.1, filed 2026-08-27](#). Tariff mechanics: [EY summary of the §232 proclamation operative text](#).

PROPOSED ENTRY BANDS

Both benches say no entry. There is no buy here today. Our house rule is that staying out requires naming a specific reason rather than a general unease; three are named: cash burn against rising leverage, the tax-status tail the company will not close, and the fact that the operating subsidiary is at its own 52-week low in its home market (which kills the “neglected US listing” version of the trade).

These are the conditions that would reopen it, with the levels taken from the benches’ own arithmetic:

Reopen level 1 — discount widening, price \$9.41 or below. A retest of the 52-week low **only if** CSI Solar (688472) has *not* simultaneously made a new low. That combination is the only clean evidence that the holding-company discount is widening rather than the whole enterprise being repriced. If both make new lows together, this is not a discount trade and we stay out. *Caveat carried from the pre-mortem: this level is where forced selling prints, so any purchase here must be a limit order into weakness, not a chase.*

Reopen level 2 — \$8.60 or below. That is the parent at 20% of the value of its listed stake alone (\$2.92 billion ÷ 67.9 million shares = ~\$43/share of stake value per share). At 20%, the discount is at the extreme end of anything observed for this structure and the asymmetry starts to pay for the unresolvable tax tail.

Discipline level — \$15.00 or above. Not an entry. If the stock is up ~23% from here without our thesis having been verified, the market has resolved the tariff question in the bullish direction without us, and we re-run the case rather than assume we were merely early.

Sizing if reopened: starter only, no more than **0.5% of book**, entered in two tranches (half at the reopen level, half only after a primary-source answer on the ring-fencing question). No adds before the annual report debt note is read. This is a name with an unhedgeable private-determination tail; it does not earn a full position no matter how cheap the arithmetic looks.

No trims or exits apply — we hold nothing.

Dates that gate all of the above: - **2026-11-12** — expected Q3 print. **Unconfirmed:** this date is derived from a data vendor, not from any company announcement, and the Q2 release names no next-print date. Roughly 50 trading days out. - **2026-12-04, 12:01am ET** — §232 minimum import prices and the 15% polysilicon-derivative tariff take effect. This is the one hard, dated event in the case. - **Q1 2027** — Jeffersonville Phase 2 trial production begins per the company's own release; equipment installation was said to start before the end of 2026. Until this lands, US cell self-supply covers a minority of US module capacity. - **2029-01-20** — construction-start deadline for the tariff's onshoring relief program. Long-dated, but it defines whether the company's already-started build qualifies.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 8.6 (deck-provisional: parent at 20% of the value of its listed CSI Solar stake alone (\$2.92B stake / 67.9M shares = ~\$43/sh)
- filing watch: 20-F until 2027-02-28 (deck-provisional: debt note showing whether the \$1.5B Recurrent residual is ring-fenced at project level, plus current C)
- dated pack CSIQ|2026-12-04: CSIQ: Section 232 minimum import prices (~\$0.38/W modules, ~\$0.22/W cells) and 15% polysilicon-derivative tariff take effect 12:01am ET; the
- dated pack CSIQ|2026-11-12: CSIQ: expected Q3 2026 results; date is data-vendor derived, no company announcement names it (date confirmed=False)

- dated pack CSIQ|2027-03-31: CSIQ: Jeffersonville HJT Phase 2 trial production begins per company release, taking US cell capacity from 2.1 GWp toward 6.3 GWp against Me
- dated pack CSIQ|2029-01-20: CSIQ: construction-start deadline for Section 232 onshoring relief program; determines whether the already-started US build qualifies for te

What remains unverified

1. **Whether the \$1.5 billion of Recurrent-related debt not stated as non-recourse is actually recourse to the parent.** This is the single biggest open item. Our first brief assumed one answer, our adversarial bench asserted the opposite, and the filing says neither. Only the annual report debt note settles it.
2. **The current ownership percentage of CSI Solar.** Sourced to a 2025-09-30 disclosure. The entire sum-of-the-parts scales linearly off this number.
3. **Whether the holding-company discount is at, inside, or outside its own historical range.** Unbuilt. Without it there is no dislocation claim, only a level.
4. **FY2027 consensus revenue and gross margin.** Never extracted by either bench. We therefore cannot state a divergence from the market in either direction — which bars both a buy *and* a confident short.
5. **The net sign of \$232 for this company.** The cost side (imported cells for Mesquite through at least Q1 2027) and the revenue side (a price umbrella over 10 GWp of US-made modules, plus possible onshoring relief) have not been netted with disclosed numbers, because the company does not disclose a US-delivered selling price.
6. **Prohibited-foreign-entity status and 45X credit eligibility.** The company will not assert it; no guidance addresses it specifically; there is no monitorable precursor.
7. **Whether either US plant is running at disclosed nameplate.** Our satellite and thermal checks both returned no usable read — stale imagery predating the plant opening, and city-level location precision. We have no independent confirmation of physical operations.
8. **A live independent price.** Everything here runs off one broker snapshot at 09:19Z on 2026-09-01; the quote tool was permission-denied to both benches.
9. **Insider direction** in the July 13–14 Form 4 cluster.
10. **Export control / sanctions exposure** of the Chinese subsidiaries.

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